

6.3

OPTION BUYING USING OPEN INTEREST



Strategy video

This chapter is for all the option buying enthusiasts out there. In this chapter, we are going to talk about buying options with the help of open interest. This is an intraday strategy which will be executed and exited in the early half of the market itself, so do read carefully.

INTRODUCTION

Options

31AUG2023

Select Segment

Select Expiry

☒ Buy
 ☐ Sell
 Lot Qty.

−

1

+

Generally, options trading strategies involve either buying or selling option contracts. **Buying options** is considered to be amongst one of the riskiest jobs a trader can do.

The reward in option buying is unlimited on the upper side if the underlying asset moves in your favor. This chapter explores a tactical approach towards option buying which utilizes open interest to identify potential entry points.

However, before we talk about the strategy, let us get familiar with the terms like option buying and open interest.

	B		
Prob. of Profit	xx.xx%		
Max. Profit	Unlimited		
Max. Loss	(-xxx.xx%)		
Max. RR Ratio	xx		
Breakevens	xxxxx.x		
Total PNL	xxxxx.x		
Net Credit	x		
Estimated Margin/Premium	+xxxx		